

The 2026 Software and AI Public-Sector Opportunity Report

A practical guide to acquisition signals, modernization demand, funded agencies, primes, compliance paths, and responsible AI opportunities.

6 lanes Acquisition, modernization, awards, primes, grants, and policy	Fit first Security and acquisition constraints shape the route	30 days A qualification-led market test
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Built for founders and revenue teams that need credible targets, clear revenue motions, contact paths, and next actions - not a generic list of grants or contracts.

Opportunity Scanner by Opportunity Systems

Research current as of July 11, 2026. Always recheck time-sensitive official sources before acting.

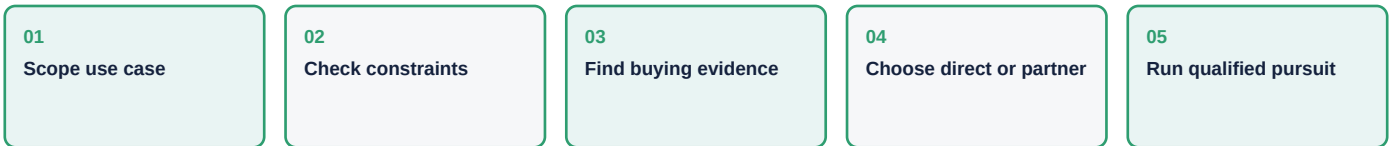
The opportunity landscape

Use these lanes to separate records that imply different buyers, partners, timing, and next actions.

Six evidence lanes to investigate



From signal to an owned revenue action



These diagrams are operating maps, not a promise that every lane is open. The report explains the evidence, constraints, and qualification checks behind each route.

Research cutoff: July 11, 2026

Audience: U.S. software, SaaS, cloud, data, cybersecurity, automation, and AI companies pursuing federal, state, local, tribal, education, or publicly funded buyers

Purpose: A practical market guide for finding sourced demand, choosing a realistic acquisition path, and moving a qualified signal into capture activity

Executive brief

Public-sector software revenue rarely begins with an open request for proposals. It begins when an agency names a mission problem, publishes an AI strategy, forecasts a procurement, asks industry for information, funds a modernization program, or awards a contract that reveals its incumbent buying network. By the time a broad solicitation appears, the requirement, acquisition route, security posture, budget, and competitive field may already be substantially formed.

The market is material but should not be reduced to a single software-spend headline. In fiscal year (FY) 2024, small businesses received more than \$183 billion in federal prime contracts, or 28.8% of federal contracting dollars, across all industries, according to the [U.S. Small Business Administration](<https://www.sba.gov/article/2025/01/10/biden-harris-administration-awards-record-breaking-183b-federal-contracts-small-businesses-marking>). That figure demonstrates access, not the size of the software market or the amount available to any one vendor. The useful question is narrower: which named public problem can the company solve, through which buyer and vehicle, at what security and delivery burden?

In 2026, AI demand is being shaped by two April 3, 2025 Office of Management and Budget memoranda. [M-25-21](<https://www.whitehouse.gov/wp-content/uploads/2025/02/M-25-21-Accelerating-Federal-Use-of-AI-through-Innovation-Governance-and-Public-Trust.pdf>) directs covered agencies to accelerate AI use while managing risks, including a heightened framework for high-impact AI. [M-25-22](<https://www.whitehouse.gov/wp-content/uploads/2025/02/M-25-22-Driving-Efficient-Acquisition-of-Artificial-Intelligence-in-Government.pdf>) addresses AI acquisition, competition, vendor lock-in, data use, documentation, testing, monitoring, and possible disclosure of AI used in contract performance. These policies create discovery signals and buyer requirements; they are not blanket permission to sell AI, nor do they replace procurement law, privacy obligations, cybersecurity requirements, or an agency authorizing official's judgment.

The strongest 2026 approach is therefore evidence-led and lane-specific:

1. Find the public record that proves a buyer, problem, budget path, or acquisition event exists.
2. Distinguish market evidence from a live buying action.
3. Choose the revenue motion: direct prime, contract-vehicle partner, subcontractor, reseller/channel, grant-funded buyer, pilot or research partner, or monitor.
4. Qualify security, data, integration, past-performance, and vehicle constraints before investing in capture.
5. Give every qualified signal an owner, a contact path, and a dated next action.

Opportunity Scanner supports this method by turning scattered official records into sourced Opportunity Signals, then organizing the buyer, revenue motion, contact path, actionability, and next best action. It should accelerate verification and workflow, not replace reading the controlling notice or speaking with the named contracting office.

State of the market: five signals that matter

1. Pre-solicitation activity is part of the market, not background noise

[SAM.gov Contract Opportunities](<https://sam.gov/opportunities>) includes pre-solicitation, solicitation, award, and sole-source notices. Sources-sought notices and requests for information are especially valuable because agencies use market research to test capability, commercial availability, acquisition strategy, and small-business participation. A response is not an offer and does not guarantee a procurement, but a specific, compliant capability statement can influence whether an agency sees adequate competition or a viable set-aside pool.

Search beyond product names. Use mission language, likely North American Industry Classification System (NAICS) codes, Product and Service Codes (PSCs), agency, contracting office, place of performance, notice type, and response date. Track terms such as

case management, fraud detection, grants management, contact center, data integration, records, workflow, cybersecurity, cloud migration, predictive maintenance, geospatial, and decision support. AI may be embedded in the requirement without appearing in the title.

2. Forecasts and incumbents reveal the route before a solicitation

The [Acquisition Gateway Forecast of Contracting Opportunities](<https://acquisitiongateway.gov/forecast>) aggregates upcoming federal requirements with fields that can include agency, office, estimated value band, NAICS, set-aside strategy, and estimated award year. Agency procurement forecasts remain uneven and estimates can change, so a forecast is a planning signal, not a promise.

Historical awards add a second layer. [USAspending.gov](<https://www.usaspending.gov/>) can identify the agency, recipient, award amount, period, awarding office, description, and sometimes subcontract records. Use it to answer: Is this a new requirement or a recompetes? Which prime or reseller already has access? Which office buys related work? When does the incumbent period end? Award ceilings and obligated amounts are different; neither should be treated as remaining addressable revenue without reading the award.

3. The acquisition vehicle may be as important as product fit

Federal buyers can use open-market contracts, the GSA Multiple Award Schedule (MAS), governmentwide acquisition contracts (GWACs), agency indefinite-delivery vehicles, blanket purchase agreements, and other routes. GSA MAS includes software licenses, cloud computing, and IT professional services categories. A schedule contract creates eligibility to compete for some orders; it does not generate demand by itself.

Some vehicles are already awarded, making partnership the practical entry route. For example, [8(a) STARS III](<https://www.gsa.gov/technology/it-contract-vehicles-and-purchasing-programs/gwacs/8a-stars-iii>) is a \$50 billion-ceiling, 8(a) small-business IT services GWAC with an ordering period from July 2, 2021 through July 1, 2029. GSA explicitly points non-holders toward subcontracting with its industry partners. The \$50 billion is a vehicle ceiling, not spending to date or revenue reserved for a particular vendor.

For state and local buyers, cooperative contracts, statewide master agreements, approved-vendor lists, and agency-specific procurement portals can play the same access role. Confirm who is legally able to buy, whether resellers may quote, and whether a local competition or participating addendum is required.

4. AI policy is creating requirements around the product, not just demand for the product

M-25-21 calls for agency AI strategies and attention to AI-enabling infrastructure, quality data, integration, interoperability, security, privacy, testing, monitoring, and workforce capacity. Public agency strategies and AI use-case inventories can therefore reveal pain points, operating offices, maturity gaps, and existing tools. An inventory entry is evidence of use, not automatically a procurement opportunity.

M-25-22 tells agencies to support competition and address risks across the acquisition lifecycle. Vendors should expect scrutiny of portability, interoperability, pricing, performance metrics, testing, documentation, data rights, and lock-in. The memorandum says contracts should permanently prohibit using nonpublic agency inputs and outputs to train publicly or commercially available AI algorithms without explicit agency consent, consistent with law. It also tells agencies to consider whether solicitations should require disclosure when a contractor uses AI in performance.

This favors vendors that can state, precisely: what model or service is used; where data travels and resides; whether customer data is retained or used for training; what humans can review or override; how outputs are evaluated; how logs and versions are preserved; how accessibility is supported; and how the agency can export data or transition away. Marketing claims about being "responsible" are not a substitute for contract-ready evidence.

5. FedRAMP is changing, but it is not a universal first step

FedRAMP applies to cloud services used by federal agencies within its statutory and policy scope. It does not cover every public-sector sale, does not itself award a contract, and does not replace an agency Authorization to Operate. State and local buyers may reference FedRAMP, StateRAMP, Criminal Justice Information Services requirements, health privacy rules, or their own security standards; applicability must be verified buyer by buyer.

As of the research cutoff, [FedRAMP 20x](https://www.fedramp.gov/20x/) is in Phase 3. The program reports that its Low pilot ran April-September 2025, its Moderate pilot ran November 18, 2025-March 2026, and the 2026 rules launched in June 2026. The public submission pipeline is planned for FY2026 Q4, July-September 2026. FedRAMP describes future dates as estimates and says the path for Class D/High remains a future FY2027 pilot. It also states that new Rev. 5 certifications are planned to stop on June 11, 2027, with transition details still to be provided.

Do not build a capture plan on a planned date alone. Before spending on authorization, confirm the product boundary, federal use case, impact level, buyer interest, current pathway, evidence requirements, and commercial return. Treat a FedRAMP authorization package as reusable security evidence; the agency authorizing official still decides whether risk is acceptable for the agency's use.

Seven software and AI opportunity lanes

Lane	Typical signal	Best-fit motion	First qualification question
New direct requirement	Sources sought, RFI, special notice, solicitation	Direct prime	Can we meet scope, timing, vehicle, security, and past performance?
Recompete or task order	Expiring award, forecast, incumbent research	Prime or vehicle-h older partner	Who controls vehicle access and customer history?
Product through reseller	Brand-name requirement, MAS/eBuy pattern, license renewal	Channel / Distribut or Motion	Is an authorized public-sector reseller required or advantageous?
Modernization subcontract	Large integrator award, program ceiling, task-order pipeline	Sell to Award Recipient	Which work package is separable and useful to the prime?
Grant-funded end buyer	Federal grant award to a state, city, university, health system, or nonprofit	Sell to Funded Buyer	Does the recipient's approved scope permit this purchase?
R&D, challenge, or pilot	SBIR/STTR topic, challenge, broad agency announcement, innovation program	Direct Apply or partner	Is the company eligible, and who owns resulting data and IP?
Policy-led future demand	AI strategy, use-case inventory, inspector general finding, budget justification	Monitor Policy	What observable event would convert this into a buying action?

The lanes should not be collapsed. A grant recipient is not the same as a federal contracting office. A prime contractor is not the agency. A policy mandate is not a funded solicitation. Opportunity Scanner should preserve the source record and assign the correct revenue motion.

A practical opportunity workflow

Step 1: Build a government-ready capability profile

Describe the company in buyer terms: mission outcome, users, deployment model, data handled, integrations, implementation work, measurable performance, relevant past performance, geography, socioeconomic status, NAICS/PSC candidates, and contract access. For AI, add model provenance, training and retention policy, evaluation method, human oversight, explainability/documentation, monitoring, incident response, portability, and accessibility.

Do not claim certifications that are pending. Separate "designed to support" a requirement from "authorized," "certified," or "compliant."

Step 2: Create a source stack by question

Use SAM.gov for active and pre-solicitation notices; Acquisition Gateway and agency forecasts for future buys; USAspending for awards and incumbents; GSA vehicle pages and eLibrary/buy.gsa.gov for contract access; agency AI strategies, inventories, budget justifications, and inspector-general reports for problem discovery; SBIR.gov and Grants.gov for eligible innovation or assistance opportunities; and state/local procurement systems for downstream buys.

Opportunity Scanner should capture source URL, publication or update date, response deadline, agency, office, notice/award identifier, status, amount type, recipient or incumbent, and the date last verified.

Step 3: Separate evidence levels

Classify each record as:

- **Live buying action:** an active solicitation, task-order request, quote request, or open eligible funding notice.
- **Pre-buying signal:** forecast, sources sought, RFI, draft solicitation, industry day, or expiring incumbent award.
- **Funded-buyer signal:** an assistance or contract award to an entity likely to procure downstream goods or services.
- **Market evidence:** strategy, inventory, budget, audit finding, meeting agenda, plan, or historical award.
- **Closed evidence:** useful for pattern and incumbent research, but not open for response.

Step 4: Map the buyer and route

Name the program office with the problem, contracting or procurement office, current prime/vehicle holder where relevant, and end users. Then choose one route. "Contact the government" is not a contact strategy. A good path might be: respond to the sources-sought contact; request a capability meeting with the agency small-business specialist and program office; approach three named GWAC holders; register for a state vendor category; or brief the funded city department before its local RFP is drafted.

Step 5: Score before pursuing

Score each factor 0, 1, or 2:

Factor	0	1	2
Mission fit	Generic overlap	Partial use-case fit	Direct, evidenced outcome fit
Timing/status	Closed or unclear	Future/forecast	Active or dated pre-buy event
Buyer clarity	No office	Agency known	Program and procurement offices known
Access route	No viable route	Partner route possible	Direct eligibility or committed partner
Security/data readiness	Material unknowns	Gaps with plan	Matches stated environment and terms
Delivery proof	No analogous proof	Adjacent proof	Relevant public or regulated proof
Economics	Unknown/unfavorable	Plausible	Budget and cost-to-win support pursuit
Next action	Generic research	Contact hypothesis	Named owner, action, and deadline

12-16: High Actionability. Enter capture workflow now.

8-11: Medium Actionability. Resolve the two largest unknowns before proposal effort.

0-7: Low Actionability. Monitor or archive; do not confuse relevance with readiness.

Apply hard gates regardless of score: legal eligibility, response deadline, mandatory vehicle, required clearance, data residency, impact level, organizational conflict, and ability to perform. One failed hard gate can outweigh broad market fit.

Source-to-action table

Official source	What it proves	What it does not prove	Recommended action
[SAM.gov opportunities](https://sam.gov/opportunities)	Notice, office, dates, instructions, attachments	Likelihood of award or vendor fit	Read full notice; calendar amendments; respond exactly as instructed
[Acquisition Gateway forecast](https://acquisitiongateway.gov/forecast)	Planned requirement and estimated fields	Final scope, value, set-aside, or release date	Validate with agency forecast owner and related awards

Official source	What it proves	What it does not prove	Recommended action
[USAspending](https://www.usaspending.gov/)	Reported prime award, recipient, obligations, period	Remaining ceiling or downstream procurement	Map incumbent, office, end date, and relevant subawards
[GSA MAS IT category](https://www.gsa.gov/technology/it-contract-vehicles-and-purchasing-programs/multiple-award-schedule-it)	Available governmentwide purchasing categories	That the buyer will use MAS or select a vendor	Confirm SIN/vehicle strategy; find holders or reseller route
[Agency AI inventory guidance](https://www.cio.gov/assets/resources/2023-Guidance-for-AI-Use-Case-Inventories.pdf) and agency AI pages	Publicly reported agency AI uses	New money or open acquisition	Identify office, use case, gaps, and related procurement records
[FedRAMP Marketplace](https://marketplace.fedramp.gov/)	Listed authorization/package status	Agency ATO or universal suitability	Verify offering, boundary, impact level, and buyer acceptance
[SBIR.gov](https://www.sbir.gov/)	Participating agency topics and award information	Eligibility or commercial follow-on	Check topic rules, phase, IP terms, and deadline
State/local procurement portal	Local registration and notice	Federal eligibility or national demand	Register narrowly; follow agency, commodity code, and amendments

A 30-day operating plan

Days 1-5: Define the offer and hard gates

Create one-page profiles for no more than three use cases. Document deployment, implementation, data flow, integrations, support, pricing unit, proof, NAICS/PSC candidates, public-sector contract access, and security status. For AI, complete a plain-language data and model disclosure. Decide which environments and impact levels are out of scope.

Days 6-10: Build a 40-record signal set

Use Opportunity Scanner to collect a balanced set: active notices, RFIs/sources sought, forecasts, related awards, agency strategies/inventories, and funded-buyer records. Require an official URL and date for every record. Deduplicate records that refer to the same requirement. Exclude generic news and expired notices unless they inform an incumbent or recompetes.

Days 11-15: Qualify and select ten

Score all records. Read the primary documents for the top 15 and retain no more than ten. Assign each a revenue motion, buyer, contact path, hard-gate result, and next action. Identify three direct pursuits, three partner pursuits, and up to four monitored signals; the mix can change based on actual evidence.

Days 16-22: Execute buyer and partner contact

Submit compliant market-research responses where deadlines allow. Prepare concise capability briefs tied to the buyer's language and outcome. Contact named notice officials only through permitted channels. Approach vehicle holders or incumbents with a defined work package, proof, and account hypothesis rather than a generic partnership request. Log replies and next dates.

Days 23-27: Close readiness gaps

For live pursuits, assemble representations, registrations, pricing assumptions, past-performance references, accessibility evidence, security artifacts, AI/data terms, and subcontracting documents. Confirm whether SAM registration, a state vendor registration, a schedule, a specific GWAC, a clearance, or FedRAMP is actually required. Build a cost-to-win estimate before committing proposal labor.

Days 28-30: Hold a pursuit review

Advance, partner, monitor, or stop each signal. A qualified record must have current status, source, buyer, route, value hypothesis, risk, owner, and next date. Feed outcomes back into Opportunity Scanner: which keywords found real demand, which sources converted to conversations, and which hard gates repeatedly disqualified the company.

Caveats and responsible use

- This report is market guidance, not legal, procurement, cybersecurity, or accounting advice. Read the controlling solicitation, award, regulation, and agency guidance.
- Federal fiscal years run October 1 through September 30. Calendar dates and FY labels are not interchangeable.
- A ceiling is not an obligation; an obligation is not an outlay; an award to a recipient is not proof of an upcoming subcontract.
- Forecasts, planned FedRAMP dates, set-aside strategies, funding levels, and deadlines can change. Re-verify immediately before action.
- FedRAMP applicability depends on the service, data, federal use, authorization boundary, and current policy. It is neither a universal public-sector requirement nor a sales credential to pursue without buyer evidence.
- M-25-21 and M-25-22 primarily govern covered federal executive agencies and contain scope exceptions. State, local, tribal, defense, intelligence, and independent-agency rules may differ.
- Do not infer personal contact information. Use source-native contacts, contracting offices, small-business offices, vehicle partners, and public procurement channels.

Source ledger

Source	Period or publication date	Use in this report	Caveat
[SBA FY2024 small-business release](https://www.sba.gov/article/2025/01/10/biden-harris-administration-awards-record-breaking-183b-federal-contracts-small-businesses-marking)	FY2024; published January 10, 2025	Prime-contract participation benchmark	All industries; not software spend
[SAM.gov Contract Opportunities](https://sam.gov/opportunities)	Live system; checked July 11, 2026	Notice types, search and following workflow	Notices and attachments change
[Acquisition Gateway Forecast](https://acquisitiongateway.gov/forecast)	Live system; checked July 11, 2026	Pre-solicitation planning source	Agency estimates are nonbinding
[USAspending About the Data](https://www.usaspending.gov/explorer)	Live data documentation; checked July 11, 2026	Prime/subaward and spending interpretation	Reporting timing and data quality vary
[GSA 8(a) STARS III](https://www.gsa.gov/technology/it-contract-vehicles-and-purchasing-programs/gwacs/8a-stars-iii)	Ordering period July 2, 2021-July 1, 2029; checked July 2026	Vehicle and partnership example	Ceiling is not spend; vehicle already awarded
[OMB M-25-21](https://www.whitehouse.gov/wp-content/uploads/2025/02/M-25-21-Accelerating-Federal-Use-of-AI-through-Innovation-Governance-and-Public-Trust.pdf)	Issued April 3, 2025	Federal AI use, governance, high-impact framework	Scope and exceptions must be read
[OMB M-25-22](https://www.whitehouse.gov/wp-content/uploads/2025/02/M-25-22-Driving-Efficient-Acquisition-of-Artificial-Intelligence-in-Government.pdf)	Issued April 3, 2025	AI acquisition, competition, data and lifecycle requirements	Does not displace other law or policy

Source	Period or publication date	Use in this report	Caveat
[FedRAMP 20x](https://www.fedramp.gov/20x/)	Status checked July 11, 2026	2025-2027 transition milestones	Future dates are estimates and may shift
[FedRAMP Consolidated Rules for 2026](https://www.fedramp.gov/2026/)	Launched June 24, 2026	Current 20x provider and agency rules	Requirements depend on pathway and class
[Grants.gov](https://www.grants.gov/)	Live system; checked July 11, 2026	Federal assistance opportunities	Eligibility is notice-specific; not a contract portal
[SBIR.gov](https://www.sbir.gov/)	Live system; checked July 11, 2026	R&D topics and awards	Agency solicitations control

Put this guide to work

Opportunity Scanner reads your company website, finds source-backed public-sector signals, and translates them into target organizations, revenue motions, contact paths, and next actions.

Run a free company scan at opportunityscanner.ai

Recheck official sources before any outreach, application, registration, or bid decision.